



BUY LOUD: THE HOUSE THAT SAYS YOU'VE MADE IT

21,597 sales • May 2014 - May 2015 • King County, WA



The King
County data
that proves
good taste isn't
cheap, it's just
well-renovated

THE BRIEF



What she asked for:

- High budget, wants to show off
- Waterfront access
- Renovated
- High grade



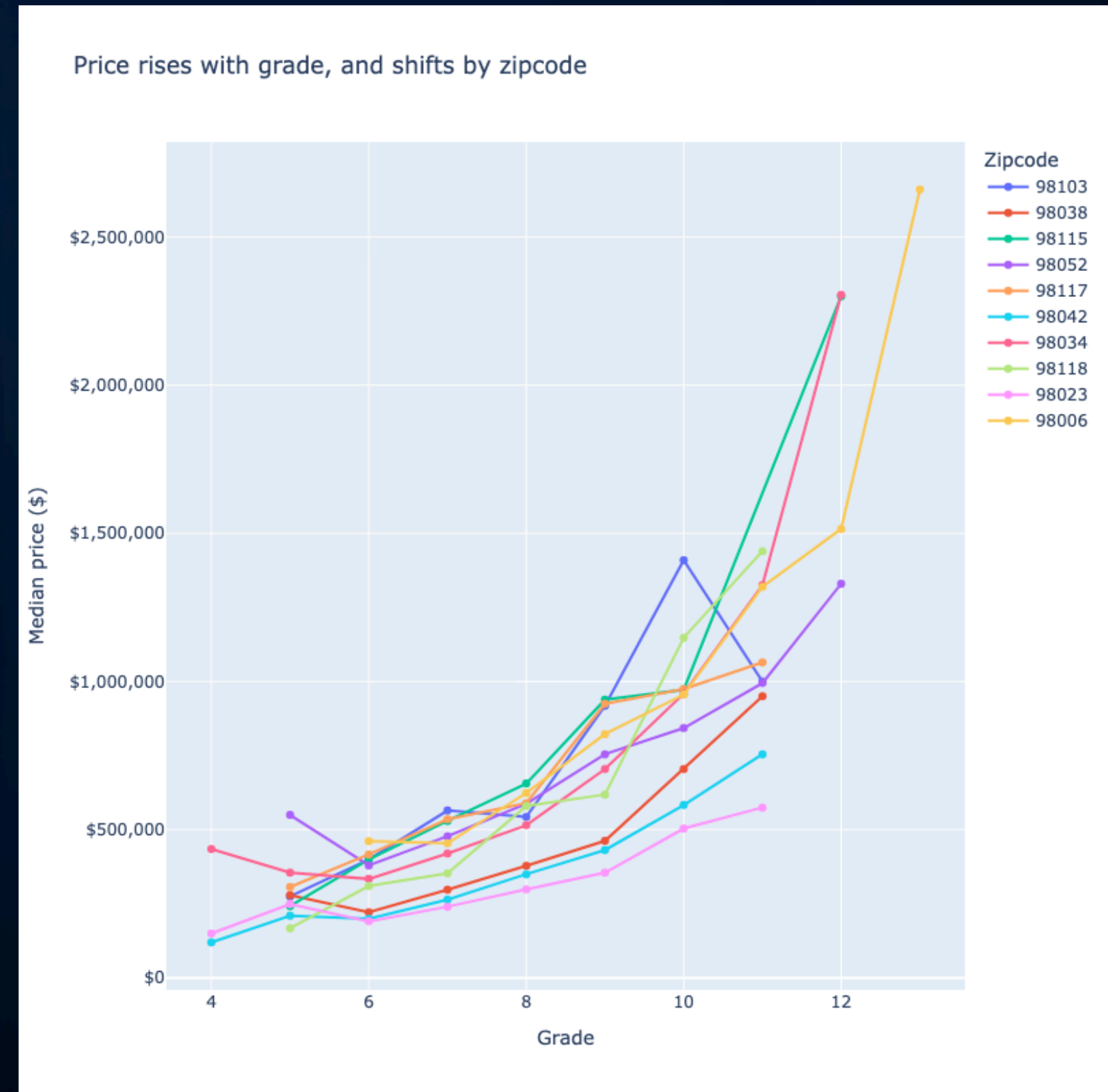
What that means in the data:

- $\text{price} \geq 90\text{th percentile}$
- $\text{waterfront} = 1$
- $\text{yr_renovated} > 0$
- $\text{grade} > 10$

Hypothesis 1: Location and grade interact

- A high grade doesn't pay off the same everywhere.
- Premium zip codes (98115, 98006): grade 12+ reaches \$2.3M–\$2.65M
- Other zip codes (98042, 98023): same grade tops out under \$750K

→ H1 confirmed: location amplifies grade's effect on price.

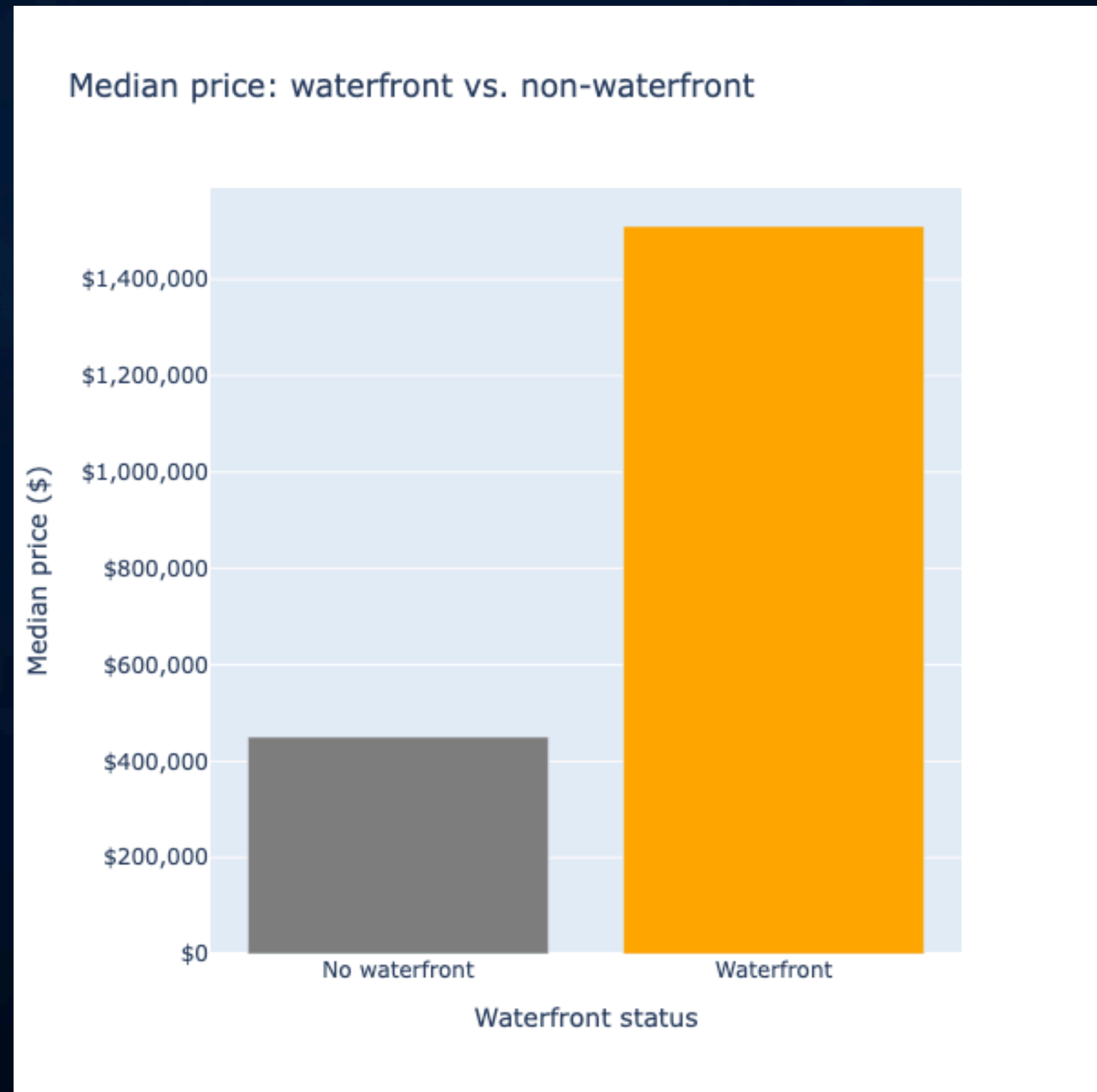


Hypothesis 2: Waterfront commands premium

- \$1.5M vs. \$450K - roughly 3x.
- Median waterfront home: \$1.5M.
- Median non-waterfront \$450K.

Caveat: the single most expensive sales in the data are not waterfront, it's a strong premium, not the only path to a top price.

→ **H2 confirmed:** waterfront access commands a real, substantial price premium.



Hypothesis 3: Renovation lifts price

- \$608K vs. \$448K - about 36% more.
- The effect holds beyond the extreme high end: the two priciest sales in the whole dataset are renovated homes.

→ **H3 confirmed:** renovation adds a real, if smaller, price premium.



The King County Market

Across 21,597 King County home sales, three factors consistently drive value:



- **Waterfront:** ~3x price premium



- **Renovation:** ~36% price premium



- **Grade:** pays off far more in premium zip codes than elsewhere

The data backs it up.



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What drives price overall

Beyond our three hypotheses, we checked correlation with price across every numeric feature.



- Squarefeet living, $r = 0.70$.



- Grade, $r = 0.67$



- Squarefeet above, $r = 0.61$

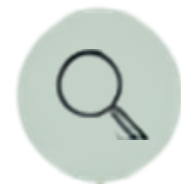
bigger, higher-grade homes with more above-ground living space consistently sell for more.



Resale performance

Jennifer plans to resell within a year – does that actually work?

94.9% of homes
resold within a year
sold for more than
the original price,
with a median gain
of 54.4%



How we got there: we looked at every house in the dataset that sold more than once, comparing each one's first and most recent sale price and date.



Takeaway: her buy-and-resell within-a-year strategy is well supported by how this market actually behaves.



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Bringing it all together

Each factor matters on its own, but none guarantees a top-tier match alone:



Waterfront: ~3x premium, but the priciest sales aren't waterfront



Renovation: ~36% premium, holding even at the top of the market



Grade: only pays off fully in the right zip code



Resale: the buy-and-resell-in-a-year strategy checks out market-wide

So we scored every house on all four criteria at once: waterfront, top-price segment, high grade, and renovated, rather than picking a winner on any single factor. A house that checks every box is rare: only a true match on all four represents Jennifer's ideal property.
→ This is how we arrive at the shortlist next.



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The Shortlist

Three homes match every one of Jennifer's criteria and rank highest by price:

HOUSE #1

Price: \$7.1M

Grade: 11

Zipcode: 98004

Living Area: 10.040m²

Bedrooms: 5

Year built: 1940

Year Renovated: 2001

HOUSE #2

Price: \$4.7M

Grade: 12

Zipcode: 98040

Living Area: 9.640m²

Bedrooms: 5

Year built: 1983

Year Renovated: 2009

HOUSE #3

Price: \$3.3M

Grade: 11

Zipcode: 98008

Living Area: 4.220m²

Bedrooms: 3

Year built: 1958

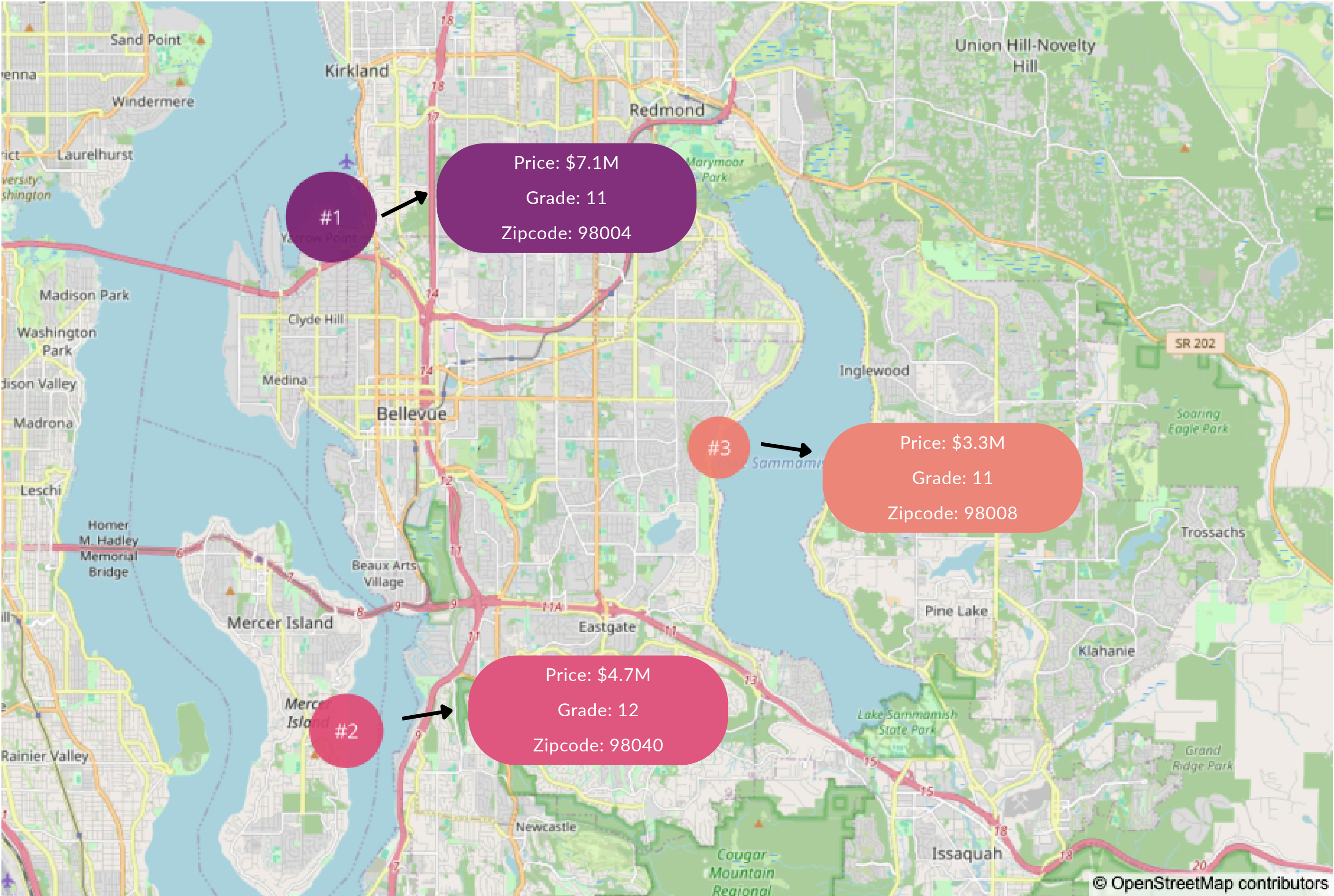
Year Renovated: 1987



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3 Homes That Match Everything You're Looking For

Waterfront · Top-price segment · Grade above 10 · Renovated



Results Summary



H1: Grade × location
Confirmed



H2: Waterfront premium
Confirmed (3x)



H3: Renovation premium
Confirmed (+36%)



Limitations



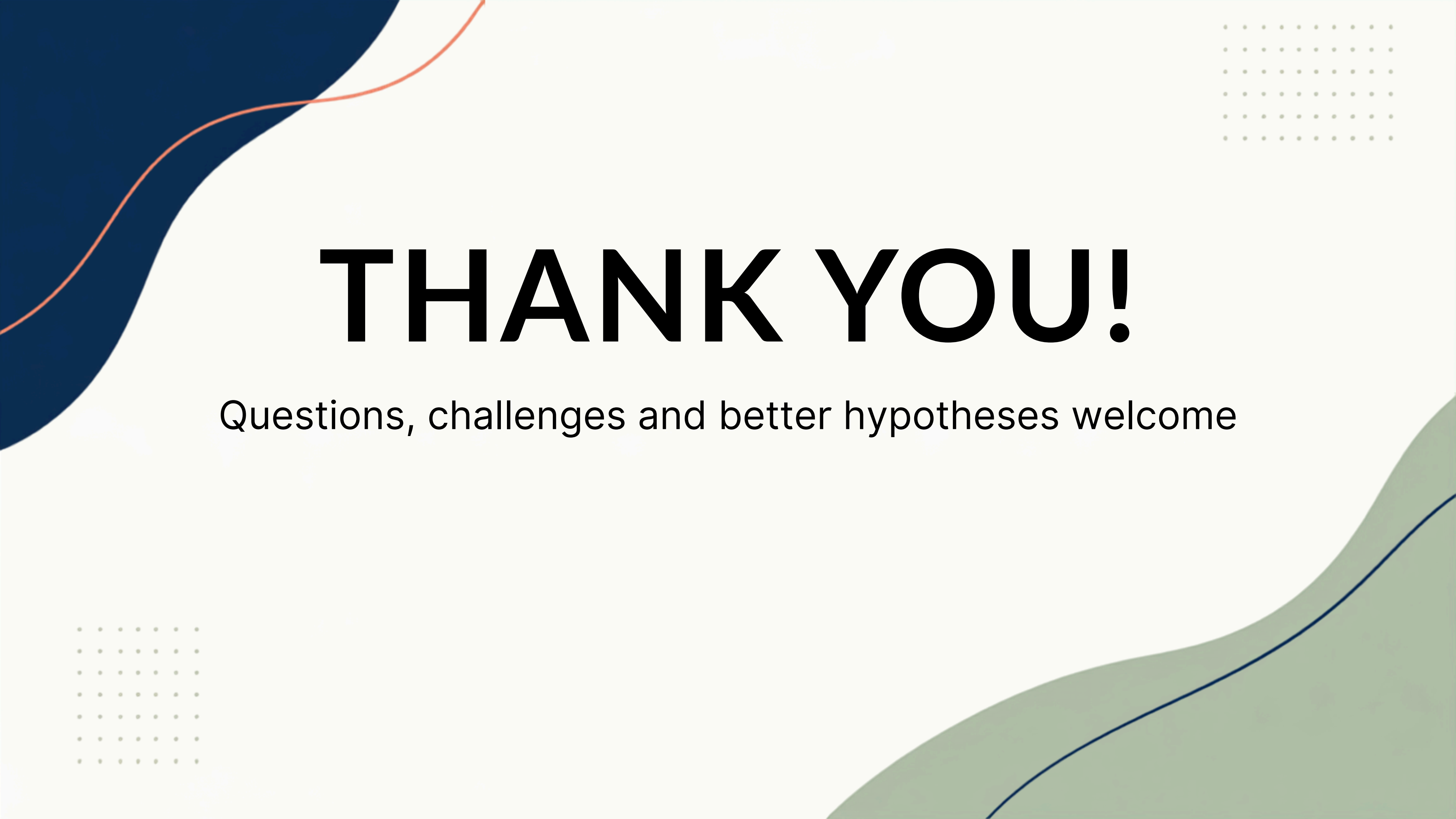
Missing waterfront/yr_renovated status was kept as "Unknown", not assumed to be "no", a more honest choice than guessing.



Resale stat is market-wide (not filtered to Jennifer's specific price/grade segment) and is gross, not net of transaction costs.



Analysis covers one county over the dataset's sale window, not a general market forecast.



THANK YOU!

Questions, challenges and better hypotheses welcome